

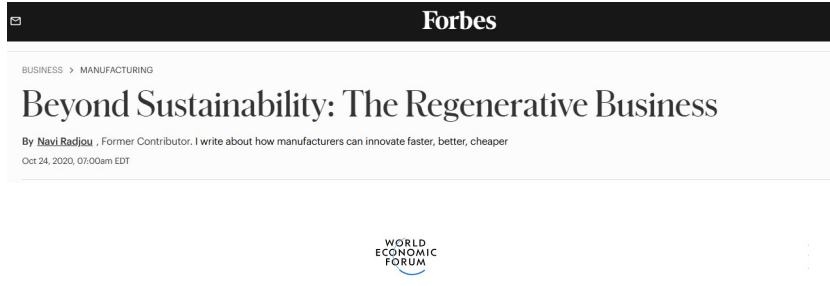


Not All Green Is Equal: The Payoff of Doing 'More Good'

Nermine Bouabid

Lancaster University Management School

Presented by: Nermine Bouabid
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SUSTAINABLE DEVELOPMENT

Regeneration: Why businesses are moving beyond sustainability and thinking about regrowth

How Can a Company Interact with Nature?

Doing Less Harm (LH):

- Reduces negative environmental impact.
- Does not necessarily create positive outcomes; typically compliance or baseline.
- Examples: using less energy, producing less pollution, cutting fewer trees.

Doing More Good (MG):

- Actively improves or restores the environment.
- Goes beyond baseline compliance, and fosters proactive strategies.
- Examples: planting trees, restoring ecosystems, investing in renewable energy.

References: Lin-Hi and Blumberg (2018), Lin-Hi and Müller (2013), and Spiess et al. (2013).

CFP and ESG (CSR) literature:

- Prior studies show mixed evidence when CSR is treated as a homogeneous construct (e.g., Albuquerque et al. 2019; Ferrell et al. 2016).

‘More good’ Vs ‘less harm’

- Crilly et al. (2016): doing ‘less harm’ perceived as a baseline expectation safeguarding against reputational risks rather than enhancing firm value.
- Lin-Hi Blumberg (2018): voluntary ‘more good’ initiatives yield stronger reputational and signalling benefits.

Objectives

Research Question

- Does engaging in proactive environmental initiatives ('More Good') over compliance-based actions ('Less Harm') improve firm financial performance?
- Through which channels?
- To what extent?"

Develop a **textual measure** of doing “more good” and “less harm” activities from environmental disclosures in CSR reports.

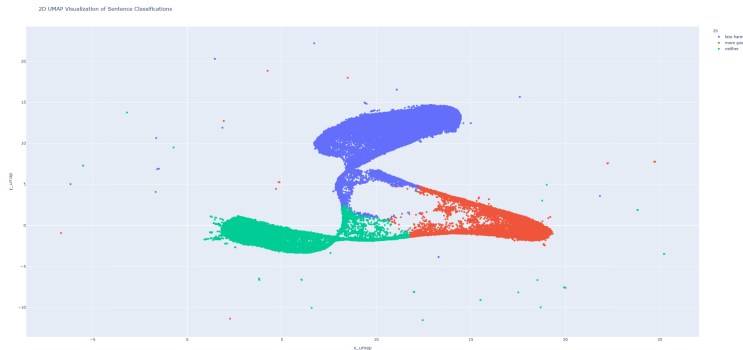
Measure Construction

- Text and image content from ESG reports using AI OCR.
- Filter sentences to keep environmental action sentences using Finbert (Huang et al, 2022) and POS tagging.
- Classify sentences as either 'More good' or 'Less Harm' using a weakly supervised zero-shot Setfit model (Tunstall, 2022).

$$LH_i = \frac{\text{Number of sentences classified as LH in document } i}{\text{Total environmental action sentences in document } i}$$

$$MG_i = \frac{\text{Number of sentences classified as MG in document } i}{\text{Total environmental action sentences in document } i}$$

Classifier Validation



- Accuracy: **74%** versus 48% of a zero shot model and 62% of a word2vec method.
- Validated using Refinitiv Measures of reduction and restoration initiatives.

Examples of Classification

More Good

- *[..]'s regenerative agriculture describes farming and grazing practices that have, among other benefits, the ability to **rebuild** soil organic matter and **restore** degraded soil biodiversity, resulting in both carbon drawdown and water cycle improvements.*
- *2,288 miles of fish passage **restored**, 46,000 acres of coastal and riparian habitat **restored**, 251 million gallons of additional storm water storage created and 52,000 trees planted.*

Examples of Classification

Less Harm

- *The wastewater treatment facility at our facility, installed in 2007, recycles water up to three times, which **reduces** the volume of water withdrawn from waterways.*
- *We continued the installation of LED lights, timers, daylight sensors, and infrared sensors on lighting systems across numerous facilities to **reduce** electricity use associated with lighting.*

Sample Selection

Process

- U.S. firms' reports merged with Compustat and Reprisk from 2014–2024: **5,925**
- Retain: Firms in non-financial industries: **4,659**
- Retain: Reports issued from 2015 to 2023: **4,639**
- Retain: Firms with non-missing Tobin's Q and controls: **3,962**

Year	2015	2016	2017	2018	2019	2020	2021	2022	2023
Company Count	187	232	291	406	515	671	787	871	597
S&P500 Coverage (%)	29.40	36.51	41.33	50.72	56.66	66.51	67.63	71.91	50.72
Market Cap Coverage (%)	25.54	33.15	33.91	40.69	44.20	52.34	51.24	59.29	32.18

Table: Sample Coverage

Baseline Model

$$TobinQ_{i,t+1} = \beta_1 \text{MoreGood}_{i,t} + \beta_2 \text{LessHarm}_{i,t} + \sum \text{Controls}_{i,t} + \text{Industry}_i + \text{Year}_t + \varepsilon$$

- **Dependent Variable:** Tobin's Q at time t+1
- **Key Regressors:** MG, LH
- **Controls:** Leverage, Firm Size, Firm Age, Liquidity, PP&E Intensity, HHI, Environmental Incidents, ROA, R&D Intensity, SG&A.
- **Fixed Effects:** Year and Industry.

Results - Financial Performance

Tobin's Q				
MG	0.710** (2.351)		0.891*** (2.632)	0.950** (2.507)
LH		-0.018 (-0.079)	0.284 (1.103)	0.339 (1.191)
Observations	3962	3962	3962	3893
Adj. R^2	0.420	0.418	0.420	0.399
Fixed effects	Ind & Year	Ind & Year	Ind & Year	Ind X Year

t-values are in parentheses.
 *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

- Positive significant relationship between 'more good' and the firm's future financial performance.
- Insignificant relationship between 'less harm' and the firm's future financial performance.
- Robust to entropy balancing and Oster bounds test.
- Robust to Heckman self selection model.

Results - Sentiment Shift

Start Year	End Year	Coefficient	Std. Error	t-statistic	p-value
2015	2018	0.523	0.390	1.341	0.181
2016	2019	0.308	0.469	0.656	0.511
2017	2020	0.812	0.489	1.660	0.100
2018	2021	0.913	0.452	2.019	0.044
2019	2022	1.044	0.443	2.354	0.019
2020	2023	1.441	0.517	2.785	0.005

Accounts for industry and year fixed effects and firm controls.

'More good' and future valuation became positively related after the year 2020:

- Flight to safety during and after the pandemic.
- Country recovery plans pushing for 'more good' (Biden's climate initiatives).

Potential Mechanisms

	(1) Sales growth	(2) Efficiency	(3) Investor breadth
MG (z)	0.027*** (2.858)	0.021 (1.306)	0.093*** (3.248)
LH (z)	0.006 (0.579)	0.038** (2.526)	0.046 (1.551)
Observations	3551	2594	3411
Adj. R^2	0.069	0.702	0.219
Controls	Yes	Yes	Yes
Year FE	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes

- The breadth of institutional ownership and sales growth are potential mechanisms in the relation between 'more good' and future valuation.
- Less harm acts on internal operations of the company through enhanced efficiency.

Boundary Conditions

Dependent Variable	Tobin's Q		
	(1) Polluting	(2) HighTech	(3) LH below avg
MG	0.006 (0.017)	0.768** (2.563)	1.826*** (3.434)
MG × Post-2020	1.430** (2.291)	-0.295 (-0.749)	-0.629 (-0.892)
MG × Polluting	0.830 (1.373)		
MG × Polluting × Post-2020	-2.027** (-2.181)		
MG × HighTech		-2.139*** (-2.644)	
MG × HighTech × Post-2020		4.574*** (2.775)	
MG × LH below ind. avg			-2.048*** (-3.124)
MG × LH below ind. avg × Post-2020			2.086** (2.215)
Observations	3962	3962	3962
Adj. R ²	0.420	0.422	0.421
Controls	Yes	Yes	Yes
Year FE	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes

- Markets reward 'More good' only where environmental issues aren't front and centre.
- Markets reward 'More good' only when the firm follows the industry standard for 'less harm'.

Conclusion and Contributions

Key Takeaways:

- Firms that invest in proactive 'more good' initiatives show a robust positive relationship with future financial performance.
- 'Less harm' actions do not translate into significant valuation premiums, but affect the company's operating efficiency.
- Proactive environmental strategies serve as credible signals of long-term commitment to sustainability, thereby attracting a broader base of institutional investors and increasing sales growth.

To maximize financial returns, firms should go beyond compliance-driven 'less harm' measures and focus on transformative, value-creating environmental initiatives.

Mitigation Hierarchy

